Overview of organizational structure and design

For Empire to be successful, the management structure requires simplicity and clarity.

Organizational structure: It is how job tasks are formally divided, grouped, and coordinated within an organization. When managers develop or change the structure, they are engaged in organizational design, a process that involves decisions about six key elements: work specialization, departmentalization, chain of command, span of control, centralization and decentralization, and formalization.

Organizing: arranging and structuring work to accomplish an organization goals.

Purpose of organizing:

i) Divides work to be done into specific jobs and departments,
ii) Assigns tasks and responsibilities associated with individual jobs,
iii) Coordinates diverse organizational tasks,
iv) Clusters job into units,
v) Establishes relationships among individuals, groups and departments,
vi) Establishes formal lines of authority, Allocates and deploys organizational resources.

Work specialization: dividing work activities into separate job tasks, also known as division of labor. This helps employees to be more efficient.

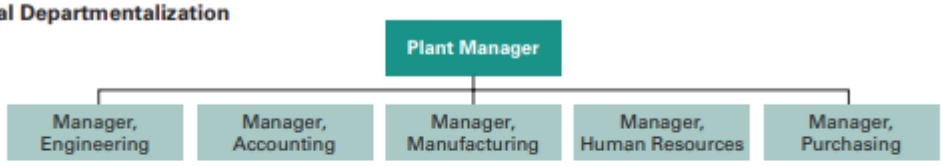
McDonald's uses high work specialization to efficiently make and sell its products, and employees have precisely defined roles and standardized work processes. However, other organizations, such as Bolton, Ontario– based Husky Injection Molding Systems and Ford Australia, have successfully increased job breadth and reduced work specialization. Still, specialization has its place in some organizations. No hockey team has anyone play both goalie and centre positions. Rather, players tend to specialize in their positions.

Departmentalization: the basis which jobs are grouped together, such as

♣ Functional dept: groups according to function (engineering, accounting, manufacturing, hman resources, purchasing manager)
♣ Geographical dept: groups according to geographic region (western, southern, etc)
♣ Product dept: groups according to product line (mass transit, recreational, rail products sector, etc)
♣ Process dept: groups jobs on the basis of product of customer flow (sewing, planning, assembling, lacquering and sanding, etc)
♣ Customer dept: groups according to specific customers who have common needs (retail, wholesale, government accounts) Another popular model ◊Cross functional teams: work teams

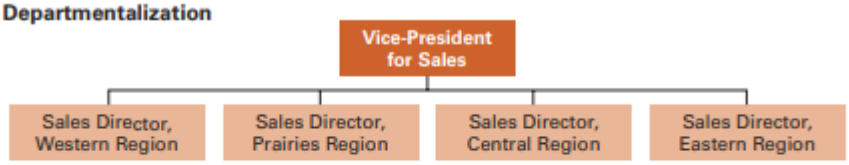
composed of individuals from various functional specialties and combined to make thing more efficient.

Functional Departmentalization



+ Efficiencies from putting together similar specialties and people with common skills, knowledge, and orientations
+ Coordination within functional area
+ In-depth specialization
− Poor communication across functional areas
− Limited view of organizational goals

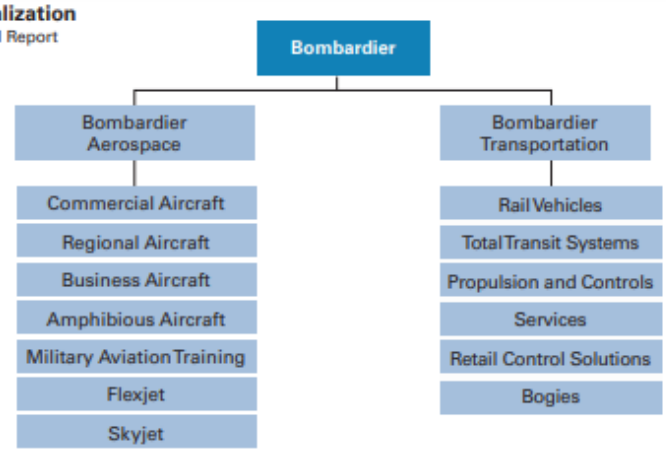
Geographical Departmentalization



+ More effective and efficient handling of specific regional issues that arise
+ Better service of needs of unique geographic markets
− Duplication of functions
− Feelings of isolation from other organizational areas possible

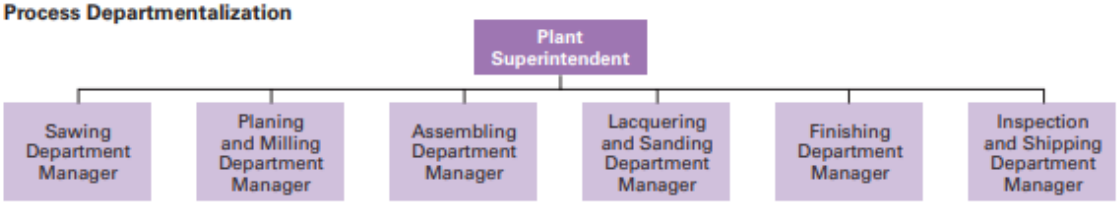
Product Departmentalization

Source: Bombardier Annual Report



+ Specialization in particular products and services possible
+ Managers able to become experts in their industry
+ Closer to customers
− Duplication of functions
− Limited view of organizational goals

Process Departmentalization



+ More efficient flow of work activities
− Use possible only with certain types of products

Chain of command

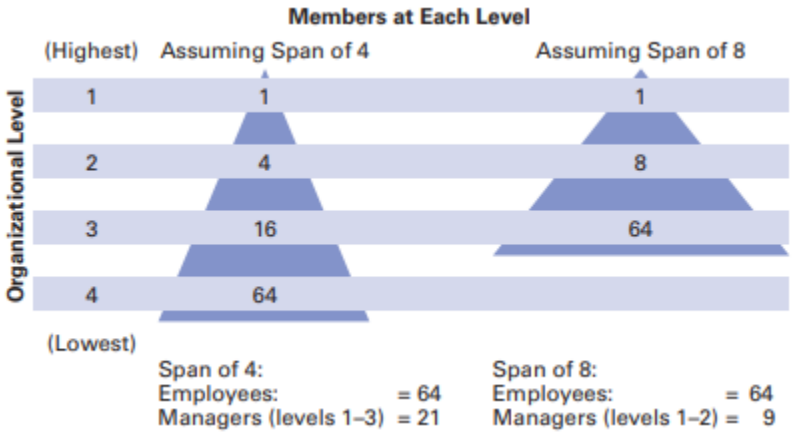
It is defined as a continuous line of authority that extends from upper organizational levels to the lowest levels and clarifies who reports to whom. There are three important concepts attached to this theory:

- Authority: Refers to the rights inherent in a managerial position to tell people what to do and to expect them to do it.
- Responsibility: The obligation to perform any assigned duties.
- Unity of command: The management principle that each person should report to only one manager.

Span of Control

It is important to a large degree because it determines the number of levels and managers an organization has. Also, determines the number of employees a manager can efficiently and effectively manage.

Today's View:The contemporary view of span of control recognizes that many factors influence the appropriate number of employees a manager can efficiently and effectively manage. These factors include the skills and abilities of the manager and the employees, and the characteristics of the work being done. **For example,** the more training and experience employees have, the less direct supervision they need. Therefore, managers with well-trained and experienced employees can function quite well with a wider span. Other contingency variables that determine the appropriate span include similarity of employee tasks, the complexity of those tasks, the physical proximity of subordinates, the degree to which standardized procedures are in place, the sophistication of the organization's information system,the strength of the organization's culture, and the preferred style of the manager.7 Wider spans of control are also possible due to technology—it is easier for managers and their subordinates to communicate with each other, and there is often more information readily available to help employees perform their jobs.



Centralization and decentralization:the degree to which decision making is concentrated at upper levels of the organization. The more that lower-level employees provide input or actually make decisions, the more decentralization there is.

More Centralization	More Decentralization
Environtment is stable	Environtment is complex, uncertain
Lower-level managers are not as capable or experienced at making decisions as upper-level managers	Lower-level managers are capable and experienced at making decisions
Lower-level managers do not want a say in decisions	Lower-level managers want a voice in decisions
Decisions are relatively minor	Decisions are significant
Organization is facing a crisis or the risk of company failure	Corporate culture is open to allowing managers a say in what happens
Company is large	Company is geographically dispersed.
Effective implementation of company strategies depends on managers retaining say over what happens	Effective implementation of company strategies depends on managers having involvement and flexibility to make decisions.

Formalization: refers to the degree to which jobs within the organization are standardized and the extent to which employee behaviour is guided by rules and procedures. If a job is highly formalized, the person doing that job has little freedom to choose what is to be done, when it is to be done, and how he or she does it. Employees can be expected to handle the same input in exactly

the same way, resulting in consistent and uniform output. Organizations with high formalization have explicit job descriptions, numerous organizational rules, and clearly defined procedures covering work processes. On the other hand, where formalization is low, job behaviours are relatively unstructured, and employees have a great deal of freedom in how they do their work

Organisation structures are designed on the basis of activities, their grouping into departments and relationships amongst people working in those departments:

1. **Mechanistic or Classical Organisation Structure**: This is a formal structure with defined jobs, policies, schedules, chain of command, authority-responsibility relationships and vertical communication. The focus is on organisational and individual goals with little or no interaction with the environment.

2. **Organic or Behavioural Organisation Structure**: These structures are adaptive to environment with participative style of decision-making. Communication is both vertical and horizontal and control comes from within.

SI.NO	**Mechanistic Structure**	**Organic Structure**
1	It is pyramid shaped with authority centralised at the top.	It is flat shaped with authority decentralised to lower levels of management.
2	It follows hierarchy of command.	It does not follow hierarchy of command.
3	It emphasises on narrow span of control.	It emphasises on wide span of control.
4	There is intense division of labour and work is divided into specialised tasks.	Work is divided into general tasks and there is little or no specialisation.
5	People consider individual goals different from organisational goals.	There is synchronisation of individual goals with organisational goals.
6	Tasks are performed according to position in hierarchy. People at lower levels perform comparatively simpler tasks.	Tasks are assigned according to capabilities/skills and not positions.